CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E766BDF5F
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

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Sent: Thu, 8 Feb 2001 02:50:00 -0800 (PST)
To: Portland West Desk <portland.desk@enron.com>
Subject: Fwd: DJ FERC Affirms It Lacks Jurisdiction In Pwr Facility Sales

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Enron Capital & Trade Resources Corp.

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To: <acomnes@enron.com>, <Christi.L.Nicolay@enron.com>, <dfulton@enron.com>, <jhartso@enron.com>, <mary.hain@enron.com>, <smara@enron.com>, <snovose@enron.com>
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From: "Tracey Bradley" <tbradley@bracepatt.com>
To: "G. Alan Rafte" <arafte@bracepatt.com>, "Andrea Settanni" <asettanni@bracepatt.com>, "Charles Shoneman" <cshoneman@bracepatt.com>, "David Parr" <dparr@bracepatt.com>, "Jeffrey Watkiss" <dwatkiss@bracepatt.com>, "Gene Godley" <ggodley@bracepatt.com>, "Kimberly Curry" <kcurry@bracepatt.com>, "Nancy Wodka" <nwodka@bracepatt.com>, "Paul Fox" <pfox@bracepatt.com>, "Ronald Carroll" <rcarroll@bracepatt.com>
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WASHINGTON (Dow Jones)--The U.S. Federal Energy Regulatory Commission Wednesday reaffirmed its policy finding that it lacks jurisdiction over

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generation facility transfers.

The Federal Power Act requires the commission to approve jurisdictional asset transfers greater than $50,000 in value. But FERC doesn't view generation assets as jurisdictional.

FERC often rules on generation asset transfers, but only in the context of associated transmission assets and power sales connected with the generation assets. FERC regulates electricity sales, but not the plants that produce the power.

With divestiture of generation assets becoming increasingly common in the $215 billion U.S. electricity sector, this policy has increasingly been questioned by consumer interests and others.

Most recently, the American Public Power Association and Citizen Power Inc., a utility watchdog group, petitioned the commission to reconsider its view that generation asset transfers, absent associated transmission facilities and power sales agreements, don't fall under FERC jurisdiction.

At issue were generation asset sales by Duquesne Light Co. (DQZ), and FirstEnergy Corp.'s (FE) transfer of power plant ownership from its utility operating units to FirstEnergy's competitive services unit.

The commission was unpersuaded by arguments of APPA and Citizens Power that state regulation is inadequate to protect the public interest and promote competition in the restructuring electric utility industry.

"There is no necessary nexus between the interstate transmission or sale of electric energy, on the one hand, (the triggering events giving rise to our jurisdiction) and the disposition of a generation facility by itself," FERC said.

"Not only does the statutory text support our interpretation, but there is no precedent, legislative history, or case law which would support a contrary conclusion," FERC said, denying the petition.

FERC cited section 203(a) of the Federal Power Act as conferring authority to regulate the disposition of "facilities subject to the jurisdiction of the commission." FERC has never asserted jurisdiction over generation assets, and has traditionally left that to state utility regulators.

By Bryan Lee, Dow Jones Newswires, 202-862-6647, mailto:bryan.lee@dowjones.com

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